

Professor Andreas Milidonis
Department of Accounting and Finance
Faculty of Economics and Management
University of Cyprus
P.O. Box 20537 CY-1678
Nicosia, Cyprus

August 18, 2025

Dear Professor Milidonis,

I am writing to express my strong interest in the Assistant Professor position in the Department of Accounting and Finance at the University of Cyprus' Faculty of Economics and Management. I expect to graduate in May 2026.

My research interests are at the intersection of insurance and public economics. As a financial economist, most of my research focuses on how policymakers, firms, individuals, and insurance markets interact. Centered on one of those interactions, my dissertation focuses on workers' compensation.¹ My job market paper ([link](#)) leverages a unique feature of US workers' compensation insurance markets (relative to other lines of insurance): the competitive, standalone public option which competes with the private market. Exploiting the formation of several public options by different states in the 1990s, I show that public options lead to more concentrated markets and have little effect on insurer loss ratios, after taking legislated benefit cuts into account.

The other portion of my dissertation focuses on a unique policy in one US state (Texas), which allows firms to opt out of providing workers' compensation coverage and, therefore, expose themselves to potential legal liability from their employees. To study the Texas setting, I constructed a unique dataset, based on multiple open records requests, that will inspire several future projects. These data include information at both the firm-level, with insurance policy information, and the claim-level within employers. One ongoing project studies how firms make the decision to opt out, focusing on the impacts of insurance premiums (paid by employers that opt in to the workers' compensation system) and increased wages to make up for less in total benefits (paid by employers that opt out of this system).

My published work and other research activities also reflect my interest in the intersection of insurance, household finance, and public economics. My paper in the *Journal of Health Economics*, for instance, deals with the quality of life expectancy gains across the wealth distribution, informing debates about the progressivity of old-age insurance provided by Social Security. Another paper, which just received a revise-and-resubmit request at the *Journal of Risk and Insurance*, focuses on how expansions of health insurance in the US via Medicaid altered

¹ In the US, workers' compensation programs provide payments to workers for a work-related injury or illness. The programs typically provide for some portion of lost income (while out of work) and medical benefits.

incentives to claim Social Security benefits. Another recent paper studies the decumulation patterns of older individuals in the US, decomposing these patterns by asset type, total wealth, and financial literacy. This project recently received a revise-and-resubmit request at the *Geneva Papers on Risk and Insurance – Issues and Practice*. I also serve as a policy consultant at the National Academy of Social Insurance, focused on their workers' compensation work stream, and was a summer fellow at the US Department of Labor's Chief Evaluation Office last year. These roles serve to both strengthen my work and deepen my institutional knowledge, to the benefit of my research agenda.

My research work thus far has also assisted me in developing skills in competing for grants and research awards. While I cannot be a principal investigator (PI) on most grants without a PhD, I helped draft the materials for two large grants. The first was from TIAA, and the resources supported the published paper mentioned above. I have continued to foster connections at TIAA, gauging interest in some new work on older Americans and life insurance that is in progress. The second was a part of the Fall Research Competition at the University of Wisconsin-Madison (UW-Madison) and related to my job market paper. These types of awards not only provide useful support but also serve to expand the reach of my work.

Beyond research, I look forward to contributing to the University in a teaching role. I have served in teaching assistant (TA) and lecturer roles at the Wisconsin School of Business each year of my program. This includes four years as a TA and one summer term as a lecturer, all for the introductory risk management course. During each of my four years as a TA, I received a school-wide Distinguished Teaching Award. I also led the main lecture on employee benefits and pension topics. As a lecturer, my course covered many topics, including legal liability, risk aversion, the economics of healthcare, information frictions, and the effect of corporate risk management on the cost of capital. As a result, beyond any insurance courses, I also feel equipped to teach courses related to introductory finance, corporate finance, and markets with frictions. I also feel able to support and develop special topics courses, including those related to household and public finance.

With my application, I am submitting my curriculum vitae, a research statement (with links to completed and working papers), contact information for three references, and three papers that have been either published or have recently received revise-and-resubmit requests. I am happy to provide any additional information.

I greatly appreciate your time and thank you for your consideration of my application. I look forward to hearing from you.

Sincerely,

Tyler Q. Welch